CITY OF FRIEND, NEBRASKA
STATEMENT OF NET POSITION
September 30, 2024

	Primary Government			Component Unit (Modified Cash Basis)
	Governmental Activities (Modified Cash Basis)	Business-type Activities (Accrual Basis)	Total	
ASSETS				
Current assets:				
Cash and cash equivalents	$ (323,649)	$ 1,785,928	$ 1,462,279	$ 224,200
Certificates of deposit	73,802	167,144	240,946	-
County treasurer cash	12,140	-	12,140	5,453
Accounts receivable	-	294	294	-
Unbilled revenue	-	6,035	6,035	-
Inventory	-	43,661	43,661	-
Total current assets	(237,707)	2,003,062	1,765,355	229,653
Noncurrent assets:				
Restricted cash and cash equivalents	501,048	-	501,048	-
Restricted certificates of deposit	283,699	-	283,699	-
Restricted county treasurer cash	7,960	-	7,960	-
Capital assets:				
Land	-	10,225	10,225	-
Other capital assets, net of depreciation	-	170,048	170,048	-
Net capital assets	-	180,273	180,273	-
Total noncurrent assets	792,707	180,273	972,980	-
Total assets	555,000	2,183,335	2,738,335	229,653
LIABILITIES				
Current liabilities:				
Accounts payable	-	37,144	37,144	-
Accrued expenses	-	4,762	4,762	-
Sales tax liability	-	859	859	-
Customer deposits	-	78,285	78,285	-
Current portion of long-term obligations	-	11,289	11,289	-
Total current liabilities	-	132,339	132,339	-
Noncurrent liabilities:				
Noncurrent portion of long-term obligations	-	59,670	59,670	-
Total liabilities	-	192,009	192,009	-
NET POSITION				
Net investment in capital assets	-	109,314	109,314	-
Nonspendable	104,393	-	104,393	-
Restricted for:				
Street projects	339,669	-	339,669	-
Debt service	311,237	-	311,237	-
Capital improvements	7,227	-	7,227	-
Community betterment	30,181	-	30,181	-
Unrestricted	(237,707)	1,882,012	1,644,305	229,653
Total net position	$ 555,000	$ 1,991,326	$ 2,546,326	$ 229,653

See notes to financial statements.

CITY OF FRIEND, NEBRASKA

STATEMENT OF ACTIVITIES

For the year ended September 30, 2024

Functions/Programs	Expenses	Program Revenues: Charges for Services	Program Revenues: Operating Grants and Contributions
Primary government:			
Governmental activities:			
General government	$ 342,299	$ 38,794	$ 34,070
Public safety	191,472	19,292	17,275
Public works	240,943	10,600	24,675
Environment and leisure	277,600	41,220	750
Debt service	280,348	-	-
Capital outlay	25,364	-	-
Total governmental activities	1,358,026	109,906	76,770
Business-type activities:			
Electric	25,439	1,887	-
Water	254,621	271,477	-
Sewer	176,908	150,366	-
Trash	99,149	94,490	-
Total business-type activities	556,117	518,220	-
Total primary government	$ 1,914,143	$ 628,126	$ 76,770
Component unit (accrual basis):			
Friend Community Redevelopment Agency	$ 355,758	$ -	$ -

See notes to financial statements.

Capital Grants and Contributions	Net (Expenses) Revenues and Changes in Net Position			
	Primary Government			
	Governmental Activities (Modified Cash Basis)	Business-type Activities (Accrual Basis)	Total	Component Unit (Modified Cash Basis)
$ -	$ (269,435)		$ (269,435)	
-	(154,905)		(154,905)	
-	(205,668)		(205,668)	
-	(235,630)		(235,630)	
-	(280,348)		(280,348)	
-	(25,364)		(25,364)	
-	(1,171,350)	$ -	(1,171,350)	
-	-	(23,552)	(23,552)	
-	-	16,856	16,856	
-	-	(26,542)	(26,542)	
-	-	(4,659)	(4,659)	
-	-	(37,897)	(37,897)	
$ -	(1,171,350)	(37,897)	(1,209,247)	
$ -				$ (355,758)
General revenues:				
Taxes:				
Property	625,617	-	625,617	-
Motor vehicle	12,016	-	12,016	-
Sales tax	258,934	-	258,934	-
Occupation tax	52,042	-	52,042	31,460
Franchise fees	-	98,564	98,564	-
State allocation	239,148	-	239,148	-
TIF proceeds	-	-	-	261,514
Miscellaneous	36,632	507	37,139	-
Interest income	43,207	5,543	48,750	5,843
Loss on disposal of assets	-	(127)	(127)	-
Total general revenues	1,267,596	104,487	1,372,083	298,817
Change in net position	96,246	66,590	162,836	(56,941)
Net position - September 30, 2023	458,754	1,924,736	2,383,490	286,594
Net position - September 30, 2024	$ 555,000	$ 1,991,326	$ 2,546,326	$ 229,653

CITY OF FRIEND, NEBRASKA

BALANCE SHEET - MODIFIED CASH BASIS - GOVERNMENTAL FUNDS

September 30, 2024

	General Fund	Street Fund	Debt Service Fund
ASSETS			
Cash and cash equivalents	$ (323,649)	$ 360,956	$ 97,939
Certificates of deposit	73,802	12,994	171,057
Due from other funds	-	-	36,581
County treasurer cash	12,140	2,300	5,660
Total assets	$ (237,707)	$ 376,250	$ 311,237
LIABILITIES AND FUND BALANCES			
Liabilities:			
Due to other funds	$ -	$ 36,581	$ -
Fund balances:			
Nonspendable:			
Cemetery perpetual care	-	-	-
Restricted for:			
Street projects	-	339,669	-
Debt service	-	-	311,237
Capital improvements	-	-	-
Community betterment	-	-	-
Unassigned	(237,707)	-	-
Total fund balances	(237,707)	339,669	311,237
Total liabilities and fund balances	$ (237,707)	$ 376,250	$ 311,237

See notes to financial statements.

Other Governmental Funds	Eliminations	Total Governmental Funds
$ 42,153	$ -	$ 177,399
99,648	-	357,501
-	(36,581)	-
-	-	20,100
$ 141,801	$ (36,581)	$ 555,000
$ -	$ (36,581)	$ -
104,393	-	104,393
-	-	339,669
-	-	311,237
7,227	-	7,227
30,181	-	30,181
-	-	(237,707)
141,801	-	555,000
$ 141,801	$ (36,581)	$ 555,000

CITY OF FRIEND, NEBRASKA

STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - MODIFIED CASH BASIS - GOVERNMENTAL FUNDS

For the year ended September 30, 2024

	General Fund	Street Fund	Debt Service Fund
REVENUES			
Taxes:			
Property	$ 401,780	$ 35,321	$ 188,516
Motor vehicle	-	12,016	-
Sales	90,066	65,935	102,933
Occupation	52,042	-	-
Intergovernmental	71,083	168,065	-
Charges for services	109,406	-	-
Grants and contributions	76,770	-	-
Interest income	34,693	264	7,889
Other income	30,655	5,356	621
Total revenues	866,495	286,957	299,959
EXPENDITURES			
General government	342,299	-	-
Public safety	191,472	-	-
Public works	44,790	196,153	-
Environment and leisure	277,600	-	-
Capital outlay	25,364	-	-
Principal payments on debt	-	-	210,000
Interest and fees on long-term debt	-	-	70,348
Total expenditures	881,525	196,153	280,348
Net change in fund balances	(15,030)	90,804	19,611
Fund balances - September 30, 2023	(222,677)	248,865	291,626
Fund balances - September 30, 2024	$ (237,707)	$ 339,669	$ 311,237

See notes to financial statements.

Other Governmental Funds	Total Governmental Funds
$ -	$ 625,617
-	12,016
-	258,934
-	52,042
-	239,148
500	109,906
-	76,770
361	43,207
-	36,632
861	1,454,272
-	342,299
-	191,472
-	240,943
-	277,600
-	25,364
-	210,000
-	70,348
-	1,358,026
861	96,246
140,940	458,754
$ 141,801	$ 555,000

CITY OF FRIEND, NEBRASKA

STATEMENT OF FUND NET POSITION - PROPRIETARY FUNDS

September 30, 2024

	Enterprise Funds				
	Electric Fund	Water Fund	Sewer Fund	Trash Fund	Total
ASSETS					
Current assets:					
Cash and cash equivalents	$ 809,638	$ 779,010	$ 173,650	$ 23,630	$ 1,785,928
Certificates of deposit	156,585	10,559	-	-	167,144
Accounts receivable	-	-	-	294	294
Unbilled revenue	-	3,451	1,444	1,140	6,035
Inventory	-	39,031	4,630	-	43,661
Total current assets	966,223	832,051	179,724	25,064	2,003,062
Noncurrent assets:					
Capital assets:					
Land	-	10,225	-	-	10,225
Distribution systems and improvements	-	1,556,098	778,311	-	2,334,409
Equipment and vehicles	133,697	190,792	72,263	-	396,752
Less accumulated depreciation	(130,722)	(1,599,680)	(830,711)	-	(2,561,113)
Net capital assets	2,975	157,435	19,863	-	180,273
Total noncurrent assets	2,975	157,435	19,863	-	180,273
Total assets	969,198	989,486	199,587	25,064	2,183,335
LIABILITIES					
Current liabilities:					
Accounts payable	-	24,607	5,425	7,112	37,144
Accrued expenses	-	2,497	2,265	-	4,762
Sales tax liability	-	-	859	-	859
Customer deposits	-	48,337	29,948	-	78,285
Current portion of long-term obligations	-	11,289	-	-	11,289
Total current liabilities	-	86,730	38,497	7,112	132,339
Noncurrent liabilities:					
Noncurrent portion of long-term obligations	-	59,670	-	-	59,670
Total liabilities	-	146,400	38,497	7,112	192,009
NET POSITION					
Net investment in capital assets	2,975	86,476	19,863	-	109,314
Unrestricted	966,223	756,610	141,227	17,952	1,882,012
Total net position	$ 969,198	$ 843,086	$ 161,090	$ 17,952	$ 1,991,326

See notes to financial statements.

CITY OF FRIEND, NEBRASKA

STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN FUND NET POSITION - PROPRIETARY FUNDS

For the year ended September 30, 2024

	Enterprise Funds				
	Electric Fund	Water Fund	Sewer Fund	Trash Fund	Total
Operating revenues:					
Sales	$ 1,887	$ 271,477	$ 150,366	$ 94,490	$ 518,220
Other revenue	-	246	261	-	507
Total operating revenues	1,887	271,723	150,627	94,490	518,727
Operating expenses:					
Personnel costs	1,176	89,356	78,910	722	170,164
Utilities and telephone	-	22,694	31,140	-	53,834
Repairs and maintenance	61	56,402	22,162	-	78,625
Contract services	-	-	-	97,751	97,751
Supplies	21,094	17,236	8,400	676	47,406
Professional fees	-	11,402	4,050	-	15,452
Insurance	-	6,489	5,623	-	12,112
Other expenses	1,579	5,961	6,900	-	14,440
Depreciation	1,529	43,496	19,723	-	64,748
Total operating expenses	25,439	253,036	176,908	99,149	554,532
Operating income (loss)	(23,552)	18,687	(26,281)	(4,659)	(35,805)
Nonoperating revenues (expenses):					
Interest income	5,237	306	-	-	5,543
Franchise fees	-	49,282	49,282	-	98,564
Interest and fees on long-term debt	-	(1,585)	-	-	(1,585)
Loss on disposal of assets	(127)	-	-	-	(127)
Total nonoperating revenues	5,110	48,003	49,282	-	102,395
Excess (deficiency) of revenues over expenses before transfers	(18,442)	66,690	23,001	(4,659)	66,590
Interfund transfers:					
Transfers from (to) other funds	58,545	(29,273)	(29,272)	-	-
Change in net position	40,103	37,417	(6,271)	(4,659)	66,590
Net position - September 30, 2023	929,095	805,669	167,361	22,611	1,924,736
Net position - September 30, 2024	$ 969,198	$ 843,086	$ 161,090	$ 17,952	$ 1,991,326

See notes to financial statements.

CITY OF FRIEND, NEBRASKA

STATEMENT OF CASH FLOWS - PROPRIETARY FUNDS

For the year ended September 30, 2024

	Enterprise Funds				
	Electric Fund	Water Fund	Sewer Fund	Trash Fund	Total
CASH FLOWS FROM OPERATING ACTIVITIES:					
Receipts from customers	$ 1,887	$ 275,991	$ 152,946	$ 95,467	$ 526,291
Payments to suppliers	(60,379)	(66,107)	(50,230)	(97,275)	(273,991)
Payments to employees	(1,176)	(90,053)	(79,742)	(722)	(171,693)
Net cash provided (used) by operating activities	(59,668)	119,831	22,974	(2,530)	80,607
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES:					
Transfer (to) from other funds	58,545	(29,273)	(29,272)	-	-
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:					
Purchase of property and equipment	-	(7,363)	-	-	(7,363)
Franchise fees	-	49,282	49,282	-	98,564
Principal payments on capital debt	-	(11,066)	-	-	(11,066)
Interest and fees paid on capital debt	-	(1,585)	-	-	(1,585)
Net cash provided (used) by capital and related financing activities	-	29,268	49,282	-	78,550
CASH FLOWS FROM INVESTING ACTIVITIES:					
Increase in certificates of deposit	(5,237)	(306)	-	-	(5,543)
Interest received	5,237	306	-	-	5,543
Net cash used by investing activities	-	-	-	-	-
Increase (decrease) in cash and cash equivalents	(1,123)	119,826	42,984	(2,530)	159,157
Cash and cash equivalents - beginning of the year	810,761	659,184	130,666	26,160	1,626,771
Cash and cash equivalents - end of the year	$ 809,638	$ 779,010	$ 173,650	$ 23,630	$ 1,785,928
Reconciliation of operating income (loss) to net cash provided (used) by operating activities:					
Operating income (loss)	$ (23,552)	$ 18,687	$ (26,281)	$ (4,659)	$ (35,805)
Adjustments to reconcile operating income (loss) to net cash provided (used) by operating activities:					
Depreciation expense	1,529	43,496	19,723	-	64,748
Change in assets and liabilities:					
Accounts receivable and unbilled revenue	-	4,268	2,227	977	7,472
Inventories	20,900	3,577	250	-	24,727
Accounts payable	-	20,552	(2,153)	1,152	19,551
Accrued expenses	-	(697)	(832)	-	(1,529)
Sales tax liability	-	-	92	-	92
Customer deposits	(58,545)	29,948	29,948	-	1,351
Net cash provided (used) by operating activities	$ (59,668)	$ 119,831	$ 22,974	$ (2,530)	$ 80,607

See notes to financial statements.

CITY OF FRIEND, NEBRASKA

BUDGETARY COMPARISON SCHEDULE - MODIFIED CASH BASIS
GENERAL FUND

Year ended September 30, 2024

	Budget (Original and Final)	Actual	Variances - Actual Over (Under) Final Budget
RESOURCES (INFLOWS)			
Taxes:			
Property	$ 465,734	$ 401,780	$ (63,954)
Sales	80,000	90,066	10,066
Occupation	65,000	52,042	(12,958)
Intergovernmental	68,169	71,083	2,914
Charges for services	204,850	109,406	(95,444)
Grants and contributions	47,800	76,770	28,970
Interest income	29,500	34,693	5,193
Loan proceeds	3,000,000	-	(3,000,000)
Other	20,750	30,655	9,905
Total resources	3,981,803	866,495	(3,115,308)
CHARGES TO APPROPRIATIONS (OUTFLOWS)			
General government	242,500	342,299	99,799
Public safety	224,961	191,472	(33,489)
Public works	41,550	44,790	3,240
Environment and leisure	194,125	277,600	83,475
Capital outlay	3,308,300	25,364	(3,282,936)
Total charges to appropriations	4,011,436	881,525	(3,129,911)
Charges to appropriations over resources	(29,633)	(15,030)	14,603
OTHER FINANCING SOURCES			
Transfers from other funds	200,000	-	(200,000)
RESOURCES AND OTHER FINANCING SOURCES OVER (UNDER) CHARGES TO APPROPRIATIONS	$ 170,367	$ (15,030)	$ (185,397)

CITY OF FRIEND, NEBRASKA

BUDGETARY COMPARISON SCHEDULE - MODIFIED CASH BASIS
STREET FUND

Year ended September 30, 2024

	Budget (Original and Final)	Actual	Variances - Actual Over (Under) Final Budget
RESOURCES (INFLOWS)			
Taxes:			
Property	$ -	$ 35,321	$ 35,321
Motor vehicle	19,750	12,016	(7,734)
Sales	38,000	65,935	27,935
Intergovernmental	176,741	168,065	(8,676)
Interest income	150	264	114
Loan proceeds	1,000,000	-	(1,000,000)
Other	4,835	5,356	521
Total resources	1,239,476	286,957	(952,519)
CHARGES TO APPROPRIATIONS (OUTFLOWS)			
Public works	188,650	196,153	7,503
Capital outlay	1,025,000	-	(1,025,000)
Total charges to appropriations	1,213,650	196,153	(1,017,497)
RESOURCES OVER CHARGES TO APPROPRIATIONS	$ 25,826	$ 90,804	$ 64,978

CITY OF FRIEND, NEBRASKA

BUDGETARY COMPARISON SCHEDULE - MODIFIED CASH BASIS
DEBT SERVICE FUND

Year ended September 30, 2024

	Budget (Original and Final)	Actual	Variances - Actual Over (Under) Final Budget
RESOURCES (INFLOWS)			
Taxes:			
Property	$ 182,068	$ 188,516	$ 6,448
Sales	100,000	102,933	2,933
Interest income	-	7,889	7,889
Other income	-	621	621
Total resources	282,068	299,959	17,891
CHARGES TO APPROPRIATIONS (OUTFLOWS)			
Principal payments on debt	215,000	210,000	(5,000)
Interest and fees on long-term debt	67,068	70,348	3,280
Total charges to appropriations	282,068	280,348	(1,720)
RESOURCES OVER CHARGES TO APPROPRIATIONS	$ -	$ 19,611	$ 19,611

CITY OF FRIEND, NEBRASKA

COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - MODIFIED CASH BASIS - NONMAJOR GOVERNMENTAL FUNDS

For the year ended September 30, 2024

	Special Revenue Funds			Total
	Perpetual Care Fund	Keno Fund	CW Johnson Trust Fund	Nonmajor Governmental Funds
REVENUES				
Charges for services	$ 500	$ -	$ -	$ 500
Interest income	-	361	-	361
Total revenues	500	361	-	861
EXPENDITURES	-	-	-	-
Net change in fund balances	500	361	-	861
Fund balances - September 30, 2023	103,893	29,820	7,227	140,940
Fund balances - September 30, 2024	$ 104,393	$ 30,181	$ 7,227	$ 141,801

CITY OF FRIEND, NEBRASKA

COMBINING STATEMENT OF REVENUES AND EXPENDITURES - MODIFIED CASH BASIS - GENERAL FUND DEPARTMENTS

Year ended September 30, 2024

	Administrative	Police	Fire
REVENUES			
Taxes:			
Property	$ 116,516	$ 96,427	$ 52,231
Sales	-	-	-
Occupation	52,042	-	-
Intergovernmental receipts	44,260	-	26,823
Charges for services	38,794	-	-
Grants and contributions	34,070	50	4,850
Interest income	25,909	-	-
Other receipts	3,748	15	1,316
Total revenues	315,339	96,492	85,220
EXPENDITURES			
Personnel services:			
Salaries and benefits	26,803	84,738	-
Operating expenses:			
Insurance	49,715	9,364	13,227
Professional fees	95,449	1,821	1,166
Repairs and maintenance	48,215	4,007	4,620
Printing, postage, and publications	-	775	-
Utilities and telephone	11,218	5,528	3,690
Total operating expenses	204,597	21,495	22,703
Supplies	69,565	13,841	41,875
Other expenses	41,334	5,283	1,537
Capital outlay	17,026	2,315	-
Total expenditures	359,325	127,672	66,115
EXCESS (DEFICIENCY) OF REVENUES OVER EXPENDITURES	$ (43,986)	$ (31,180)	$ 19,105

Park/Pool	Community Center	Library	Ambulance	Cemetery	Total
$ 88,392	$ -	$ 28,125	$ -	$ 20,089	$ 401,780
90,066	-	-	-	-	90,066
-	-	-	-	-	52,042
-	-	-	-	-	71,083
39,970	1,250	-	19,292	10,100	109,406
-	250	500	12,375	24,675	76,770
2,828	-	722	554	4,680	34,693
-	40	-	305	25,231	30,655
221,256	1,540	29,347	32,526	84,775	866,495
98,358	-	20,914	-	22,907	253,720
12,781	625	3,756	4,447	1,975	95,890
1,622	-	5,503	4,677	-	110,238
12,277	581	4,869	156	21,569	96,294
-	-	-	-	-	775
16,018	3,648	4,898	1,341	727	47,068
42,698	4,854	19,026	10,621	24,271	350,265
20,651	-	7,381	1,438	2,432	157,183
3,828	50	557	32,731	9,673	94,993
-	-	-	-	6,023	25,364
165,535	4,904	47,878	44,790	65,306	881,525
$ 55,721	$ (3,364)	$ (18,531)	$ (12,264)	$ 19,469	$ (15,030)

6. While auditing disbursements, we noted that 12 out of the 25 checks totaling $23,427.77 we reviewed were not listed in the Board minutes for approval. We recommend that all payments be listed in the minutes to ensure that the Board is approving these payments.

7. While reviewing utility payments, we noted that there were many late payments by City Council members and employees that did not have late fees assessed. We recommend making sure all payments are posted on the date they're received or on Monday if the payment is received over the weekend to better determine when a penalty should be assessed.

Other Matters

We were engaged to report on the nonmajor governmental funds combining statements, and statement of general fund departmental revenue and expenditures, which accompany the financial statements but are not RSI. With respect to the supplementary information accompanying the financial statements, we made certain inquiries of management and evaluated the form, content, and methods of preparing the information to determine that the information complies with accounting principles generally accepted in the United States of America, the method of preparing it has not changed from the prior period, and the information is appropriate and complete in relation to our audit of the financial statements. We compared and reconciled the supplementary information to the underlying accounting records used to prepare the financial statements or to the financial statements themselves.

We were not engaged to report on the management's discussion and analysis and budgetary comparison schedules, which accompany the financial statements but are not required supplementary information. We did not audit or perform other procedures on this other information and we do not express and opinion or provide and assurance on it.

Restriction on Use

This information is intended solely for the use of the City Council and management of the City of Friend and is not intended to be and should not be used by anyone other than these specified parties.

AMGL, P.C.

Grand Island, Nebraska
April 1, 2025